

Meridian Bank

Retail Loan Policy, Terms & Conditions, and Application Guide
Document Reference: MB-LOAN-POLICY-2026 | Version 4.2 | Effective 1 January 2026

This document sets out the policies, eligibility criteria, interest rates, repayment terms, fees, and application procedures governing retail lending products offered by Meridian Bank. It is intended for prospective and existing customers, branch staff, and customer-support systems. All figures and terms are illustrative for the purposes of this policy document and are subject to periodic revision by the Bank.

1. Loan Products Offered

Meridian Bank offers the following retail loan products. Each product has distinct eligibility rules, interest rate bands, and maximum tenures as described in the relevant sections below.

- **Home Loan** — for purchase, construction, or renovation of residential property.
- **Personal Loan** — an unsecured loan for personal needs such as medical, travel, or education expenses.
- **Vehicle Loan** — for the purchase of new or used cars and two-wheelers.
- **Education Loan** — for higher education in India or abroad.
- **Gold Loan** — a secured loan against gold ornaments or coins.

2. Eligibility Criteria

To be eligible for any retail loan from Meridian Bank, an applicant must satisfy the general criteria below, in addition to any product-specific conditions.

2.1 General Eligibility

- The applicant must be an Indian resident aged between 21 and 60 years at the time of application. For home loans, the maximum age at loan maturity is 70 years.
- Salaried applicants must have a minimum of 2 years of continuous employment, with at least 1 year in the current organisation.
- Self-employed applicants must show a minimum of 3 years of business continuity with audited financial statements.
- The minimum net monthly income required is INR 25,000 for personal loans and INR 30,000 for home loans.
- A minimum credit score of 700 (CIBIL or equivalent) is required for unsecured loans. Secured loans may be considered from a score of 650.

2.2 Co-applicants and Guarantors

A co-applicant is mandatory for home loans where the property is jointly owned. Income of a co-applicant may be combined with the primary applicant to enhance loan eligibility. A guarantor may be required at the Bank's discretion for higher-value or higher-risk loans.

3. Documents Required

All applicants must submit the following documents. Originals must be produced for verification; self-attested photocopies are retained by the Bank.

3.1 Identity and Address Proof

- PAN card (mandatory for all applicants).
- Any one of: Aadhaar card, passport, voter ID, or driving licence as proof of identity and current address.
- Two recent passport-size photographs.

3.2 Income Proof — Salaried Applicants

- Latest 3 months' salary slips.
- Form 16 or income tax returns for the last 2 financial years.
- Bank statement of the salary account for the last 6 months.

3.3 Income Proof — Self-Employed Applicants

- Income tax returns for the last 3 financial years.
- Audited profit & loss statement and balance sheet for the last 2 years.
- Business registration proof (GST certificate, shop license, or partnership deed).
- Bank statement of the primary current account for the last 12 months.

3.4 Property Documents (Home Loans only)

- Sale agreement or agreement to sell.
- Title deeds and chain of ownership documents.
- Approved building plan and No Objection Certificate (NOC) from the builder or society.
- Latest property tax receipts.

4. Interest Rates

Interest rates are linked to the Bank's External Benchmark Lending Rate (EBLR) and vary by product, loan amount, applicant profile, and credit score. The indicative annual rates effective from 1 January 2026 are shown below. Floating rates are charged on a daily reducing balance with monthly rests and may be revised by the Bank in line with benchmark movements.

Loan Product	Interest Rate (p.a.)	Rate Type
Home Loan	8.40% – 9.75%	Floating / Fixed
Personal Loan	10.50% – 16.00%	Fixed
Vehicle Loan	9.00% – 12.50%	Fixed
Education Loan	8.85% – 11.50%	Floating
Gold Loan	8.00% – 10.00%	Fixed

Applicants with a credit score above 800 and a clean repayment history are eligible for the lowest rate in each band. A processing concession may be offered to existing customers maintaining a salary account with the Bank.

5. Loan Amount and Tenure

- **Home Loan:** Up to INR 5 crore. Maximum tenure 30 years. Loan-to-value (LTV) ratio up to 90% for loans up to INR 30 lakh, 80% for loans above INR 75 lakh.
- **Personal Loan:** INR 50,000 to INR 25 lakh. Maximum tenure 6 years.
- **Vehicle Loan:** Up to 85% of the on-road price for new vehicles. Maximum tenure 7 years.
- **Education Loan:** Up to INR 1.5 crore for studies abroad. Repayment begins after a moratorium covering the course period plus 12 months.
- **Gold Loan:** Up to 75% of the assessed value of the pledged gold. Maximum tenure 3 years.

6. Repayment Terms

Loans are repaid through Equated Monthly Instalments (EMIs) comprising principal and interest. EMIs are due on the 5th of each calendar month and are collected through a standing instruction or National Automated Clearing House (NACH) mandate registered at the time of disbursement.

- The first EMI is due in the month following full disbursement of the loan.
- Customers may opt for a step-up or step-down EMI structure for home loans, subject to approval.
- Part-prepayment is permitted after 6 months of regular repayment. Floating-rate home loans carry no prepayment charge.
- Full foreclosure is permitted at any time after 12 months, subject to the foreclosure charges in Section 7.

7. Fees, Charges, and Penalties

- **Processing fee:** 0.50% of the loan amount for home loans (maximum INR 25,000); up to 2.00% for personal loans.
- **Late payment penalty:** 2% per month on the overdue EMI amount.
- **Cheque/NACH bounce charge:** INR 500 per instance.
- **Foreclosure charge:** Nil for floating-rate loans; 2% of the outstanding principal for fixed-rate loans.
- **Loan statement / duplicate documents:** INR 250 per request.

Consequences of Default

If an EMI remains unpaid for 90 days, the loan account is classified as a Non-Performing Asset (NPA). The Bank may then issue a demand notice, report the default to credit information companies, and initiate recovery proceedings, including enforcement of security under applicable law. Customers facing genuine financial difficulty are encouraged to contact the Bank to discuss restructuring options before default occurs.

8. Application Process

The loan application process at Meridian Bank consists of the following stages. The typical end-to-end timeline is 3 to 7 working days for personal loans and 7 to 15 working days for home loans, subject to document completeness and property/legal verification.

- 1 **Submission:** The applicant submits the completed application form (Section 9) along with all required documents listed in Section 3.
- 2 **Verification:** The Bank verifies identity, income, employment, and credit history. A credit score is obtained from a credit information company.
- 3 **Assessment:** The Bank assesses repayment capacity using the EMI-to-Net-Monthly-Income (NMI) ratio, which must not exceed 55%.
- 4 **Sanction:** On approval, a sanction letter is issued stating the approved amount, interest rate, tenure, and EMI.
- 5 **Documentation:** The applicant signs the loan agreement and registers the NACH mandate.
- 6 **Disbursement:** Funds are disbursed to the applicant or seller account, in full or in stages as applicable.

9. Loan Application Form

This section reproduces the standard retail loan application form. Applicants must complete all fields in block letters. Fields marked with an asterisk (*) are mandatory.

9.1 Applicant Details

9.2 Loan Details

Full Name *	_____
Date of Birth *	___ / ___ / _____
PAN *	_____
Aadhaar Number	_____
Mobile Number *	_____
Email Address	_____
Residential Address *	_____
Employment Type *	☐ Salaried ☐ Self-Employed
Net Monthly Income *	INR _____

Loan Product *	☐ Home ☐ Personal ☐ Vehicle ☐ Education ☐ Gold
Loan Amount Requested *	INR _____
Preferred Tenure (months) *	_____

Interest Rate Option	☐ Floating ☐ Fixed
Purpose of Loan *	_____
Existing Loans / EMI	INR _____

9.3 Declaration

I/We declare that the information provided in this application is true and complete to the best of my/our knowledge. I/We authorise Meridian Bank to verify this information and to obtain my/our credit report from credit information companies for the purpose of assessing this application. I/We have read and accept the terms and conditions set out in this document.

Applicant Signature: _____ Date: ____ / ____ / _____

10. Frequently Asked Questions

Q: What is the minimum credit score required for a personal loan?

A: A minimum credit score of 700 is required for unsecured loans such as personal loans. Applicants with scores above 800 qualify for the lowest interest rates.

Q: What is the maximum tenure for a home loan?

A: The maximum tenure for a home loan is 30 years, subject to the borrower being no older than 70 years at loan maturity.

Q: Are there any prepayment charges on home loans?

A: Floating-rate home loans carry no prepayment or foreclosure charges. Fixed-rate loans attract a foreclosure charge of 2% of the outstanding principal.

Q: How long does loan approval take?

A: Personal loans are typically processed in 3 to 7 working days, while home loans take 7 to 15 working days depending on property and legal verification.

Q: What documents are required for a salaried applicant?

A: Salaried applicants must submit PAN, identity/address proof, two photographs, the last 3 months' salary slips, Form 16 or 2 years' tax returns, and 6 months' salary-account bank statements.

Q: What happens if I miss an EMI payment?

A: A late payment penalty of 2% per month applies on the overdue amount. If an EMI is unpaid for 90 days, the account is classified as an NPA and recovery proceedings may begin. Contact the Bank early if you anticipate difficulty.

Q: Can I add a co-applicant to increase my loan eligibility?

A: Yes. A co-applicant's income can be combined with the primary applicant's income to enhance eligibility. A co-applicant is mandatory for jointly owned property under a home loan.

Q: What is the maximum loan-to-value ratio for a home loan?

A: The LTV ratio is up to 90% for loans up to INR 30 lakh and 80% for loans above INR 75 lakh.

For further assistance, customers may contact Meridian Bank Customer Care at 1800-000-0000 (toll-free, 8 AM to 8 PM) or email support@meridianbank.example. This document is provided for informational purposes and does not constitute a binding commitment to lend. All loans are subject to the Bank's approval and applicable regulatory guidelines.